

Public Economics

Lecture 1 · Why Study Public Economics?

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Winter Term

WU Vienna University of Economics and Business

Nuts and bolts

- This course provides a foundational introduction to public economics
- We meet on Tuesdays from 2pm-6pm
- There will be a break from 3:45-4:15
- Attendance is compulsory. A max of 2 missed sessions is permitted

Day	Date	Time	Room
Tuesday	10/06/26	02:00 PM - 06:00 PM	TC.4.12
Tuesday	10/13/26	02:00 PM - 06:00 PM	TC.3.08
Tuesday	10/20/26	02:00 PM - 06:00 PM	TC.3.08
Tuesday	10/27/26	02:00 PM - 06:00 PM	TC.3.08
Tuesday	11/03/26	02:00 PM - 06:00 PM	TC.3.08
Tuesday	11/10/26	02:00 PM - 06:00 PM	TC.3.08
Tuesday	11/17/26	02:00 PM - 04:30 PM	TC.4.27
Tuesday	11/24/26	02:00 PM - 06:00 PM	TC.3.08
Tuesday	12/01/26	02:00 PM - 06:00 PM	TC.3.08
Tuesday	12/15/26	02:00 PM - 06:00 PM	TC.3.08
Tuesday	01/12/27	02:00 PM - 06:00 PM	TC.3.08
Tuesday	01/19/27	01:30 PM - 04:00 PM	TC.2.03

- A maximum of 100 points can be achieved in total.
 - 3 homework assignments: 3×6 points = 18
 - A midterm and an endterm exam, each worth of 30 points
 - Report (1–3 pages) on a selected research paper in Focus Area 2 = 12 points.
- A min of one point needs to be achieved in each subtask to receive a passing grade.
- Grading scale:
 - < 60 points: Unsatisfactory; 60 points or above: Sufficient; 70 points or above: Satisfactory; 80 points or above: Good; 90 points or above: Excellent;

- PDF document; your name in the file name *and* the header!
- 1–3 pages; more pages does not mean a better score
- English or German
- Inclusive language
- Coherent phrasing, a clear thread throughout, correct spelling, proper citation
- No cover page, no table of contents, ...

- Submit via Canvas — once submitted, it is final
- **Submissions are checked for plagiarism!** If the text fails this check, you receive 0 points, and the assessment *cannot* be repeated!
- Even translating sentences from the paper into another language counts as plagiarism!

- **Part 1:** Summary of the paper: A clear and correct description of what the paper is about, Research question, objectives, methods, results,... (max. 1 page!)
- **Part 2:** Discuss which aspect of the paper was most interesting to you. What was particularly well done in the paper? Why are you convinced of this?
- **Part 3:** What is missing in the paper? Describe what you think is underdeveloped in the paper, why this aspect would be important, and how you would improve/supplement it. Stick to the context of the present paper and its objective; do not pose a new research question! Refer to the course content and previous texts.

Working Independently

- Work as independently as possible: formulate results, methodology, and the research question in your *own* words!
- Dare to question and critique the papers — we want you to engage with them critically and independently.

A critical use of AI is ok, but

- AI-based tools analyze complex studies only inadequately.
- We discuss the papers in class — you benefit most if you've already read them yourself.
- The papers are exam-relevant, so doing it yourself saves you time in the end.

Introduction

- What is **public economics**, and what are the key questions the field addresses?
- What are the key facts about the size and growth of government, and the distribution of taxes and spending?
- How do the questions of public economics/fiance show up in a concrete policy debate?

1.1 The Four Questions of Public Economics

What Is Public Economics?

Public Economics

The study of the role of **government** in the economy.

The four questions of Public Economics:

1. **When** should the government intervene in the economy?
2. **How** might the government intervene?
3. **What is the effect** of those interventions on economic outcomes?
4. **Why** do governments choose to intervene in the way that they do?

Q1: When Should the Government Intervene?

Baseline: in a competitive market, the equilibrium (supply = demand) maximizes the *social efficiency* of trade.

- Every trade valued by both sides happens; no valuable trade is missed.
- So the free market is the benchmark — government intervention needs a *justification*.

Two justifications for intervention

1. **Market failure** — the market outcome is not efficient
2. **Redistribution** — society wants a different *distribution* of the outcome (even if it is efficient)

Market Failure

Market failure occurs when a free market fails to allocate resources efficiently.

- Examples of market failures?

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- Examples of market failures?
- Health insurance *looks* like a textbook competitive market: many buyers, many sellers.
- But: if I skip a flu shot, I raise *my* risk of getting the flu — and the risk that I infect *you*.
- I only weigh *my own* costs and benefits when deciding whether to insure/vaccinate; I ignore the cost I impose on others.
- The same logic applies to vaccination generally: below some coverage threshold, *herd immunity* breaks down and outbreaks become possible again — private vaccination choices under-provide protection relative to the social optimum.

⇒ a **negative externality**: private decisions $\neq$ socially efficient decisions.

The shifting of resources from some groups in society to others.

- Think of the economy as a **pie**: efficiency determines its *size*.
- Redistribution reshuffles different groups' shares of the pie
- Why? Society may value €1 more to a poor household than to a rich one.

The equity–efficiency trade-off

Redistributive policies can change economic agents' behavior (e.g., work incentives), which can *shrink the pie*

Q2: How Might the Government Intervene?

Four broad policy tools:

1. **Tax or subsidize**
2. **Restrict or mandate**
3. **Public provision** (the government produces the good itself)
4. **Public financing of private provision** (government pays; private firms produce)

The Four Tools, With Austrian Examples

Tool	Austrian example
Tax/subsidize	<i>Pendlerpauschale</i> (commuter tax deduction); CO ₂ pricing under the eco-social tax reform
Mandate/restrict	Covid-19 vaccination mandate (2022, repealed 2023)
Public provision	ÖGK public health insurance; public hospitals (Gemeinde-spital network)
Public financing of private provision	Social-insurance reimbursement of private physicians and private hospitals

Q3: What Are the Effects of Interventions?

Direct effects

What would happen *if people did not change their behavior*.

Indirect effects

What happens *because* people change their behavior in response.

Both matter for evaluating *any* government intervention

Q4: Normative vs. Positive Public Economics

Normative

Analysis of how things *should* be.

Should the government have mandated Covid-19 vaccination? *How high* should the top income tax rate be?

Positive

Analysis of how things *really are*.

Did the Impfpflicht actually raise vaccination rates? *Does* Kurzarbeit actually prevent layoffs, or mostly subsidize jobs that would have survived anyway?

Positive analysis (mostly empirical) is the necessary first step before normative analysis (mostly theoretical) can be completed.

1.2 Facts on Government in Austria

Why Look at the Facts?

- Public Economics is compelling because government is *everywhere* in economic life.
- We now look at some facts about Austria: size, decentralization, deficits/debt, spending composition, revenue composition, etc.

A Methodological Note: What Counts as “Government”?

Measuring the “size of government” first requires deciding *what belongs to* the state sector.

- Under the European System of Accounts (ESVG 2010), Austria's **Staatssektor** (S.13) comprises **4,973** institutional units across four subsectors: Bund (410), Länder (357), Gemeinden (4,156), and Sozialversicherungsträger (50).
- Classification depends on *function and market/non-market status*, not ownership: a state-owned firm covering most of its costs from market sales (e.g. ÖBB-Personenverkehr, ORF) can fall *outside* the state sector, while a nominally private, state-controlled nonprofit can fall *inside* it.
- **General (“unechte”) Staatsquoten** — like spending/GDP, on the next slide — compare a numerator that is *not* a subset of the denominator, which can overstate government's real economic weight.
- **Specific (“echte”) Staatsquoten** compare one budget line to the whole budget (e.g. health's share of total spending) and are more directly interpretable.

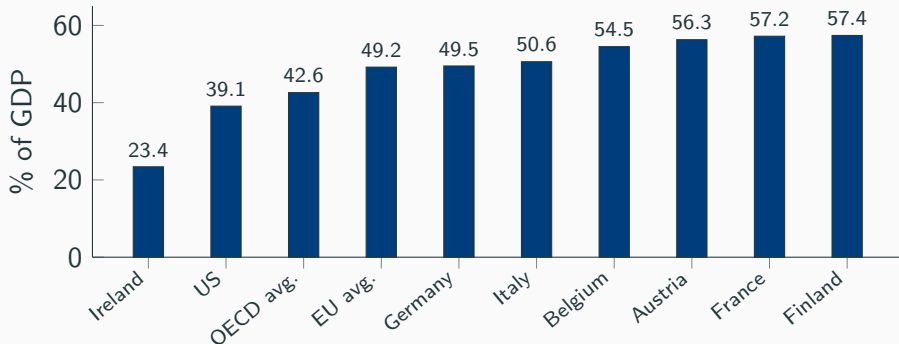
The Size of Government Has Grown — Everywhere

- Government spending has expanded across Western Europe since 1960, driven above all by the build-out of the welfare state.
- The pace has varied enormously: Greece's government share roughly tripled since 1960; Sweden's peaked near two-thirds of GDP in the early 1990s before falling back.
- Austria's own **Staatsquote** sits well above the OECD average today (next slide).

Discussion

What explains the twentieth-century growth of government spending across almost every developed country?

Government Spending Across the EU — and the US



Explanatory Approaches to the Growth of Government Spending (1)

No monocausal, self-contained explanatory approach exists.

- **Change in the function of state activity**

- Transition from the “regulatory” (“night-watchman”) state to the *service-providing* state (*Leistungsstaat*).
- The “law” of growing state activity / the growing expansion of financing needs;
Wagner’s Law: growth of “legal and power purposes” as well as (expenditure-intensive) “cultural and welfare purposes”.
- Modern (welfare) states assign the state distinctly more, and also new, tasks
- **Theory of occasional displacements** (Peacock & Wiseman): the level-displacement effect; tax resistance is overcome in crisis periods, with a “habituation effect” carrying the new level into normal times.

Explanatory Approaches to the Growth of Government Spending (2)

- **Income elasticity of demand for public services**

- Steadily rising private income / standard of living leads to the expansion of government spending,
- because the income elasticity of demand for public services is higher than that for private services.
- Assumes that “higher” needs are covered to a greater extent by state providers (Maslow’s hierarchy of needs).

- **Influence of population density**

- **Brecht’s Law:** the “law of progressive parallelism between expenditure and population concentration” links the degree of agglomeration to the level of the government share.
- Larger municipalities carry more public tasks (the “zoo effect”) and often more complex, more expenditure-intensive ones (e.g. public transit).

Explanatory Approaches to the Growth of Government Spending (3)

- **Low productivity of public services**
 - **Baumol's cost disease** (excessive cost increase) in the public-service sector, resulting from the productivity gap between the goods sector and the service sector, combined with wage solidarity across the public and private sectors.
- **Political-economy explanatory approaches** (public-choice approaches)
 - The political process itself as a reason for rising government-spending ratios.
 - The self-interest of political actors determines the supply of public services.
Rent-seeking describes the effort of interest groups to influence legislation (“distributional coalitions”) in order to secure special advantages for their members — politically obtained privileges — that produce permanent, unearned income in the market sphere.

Austria's federalism: Expenditure by level of government (2024)

- Bund **48%** (€176.1bn)
- Sozialversicherung **25%** (€93.7bn)
- Länder **14%** (€52.2bn, excl. Wien)
- Gemeinden **13%** (€46.7bn, incl. Wien)

Why So Centralized? A Political-Economy View

- Redistribution is hard to sustain at the local level: if a *Land* or *Gemeinde* taxes high earners heavily on its own, they can simply move to a lower-tax neighbor.
- Centralizing revenue at the **Bund** is what makes Austria's *Finanzausgleich* possible — transferring resources from richer to poorer regions in a way a fully decentralized system could not.

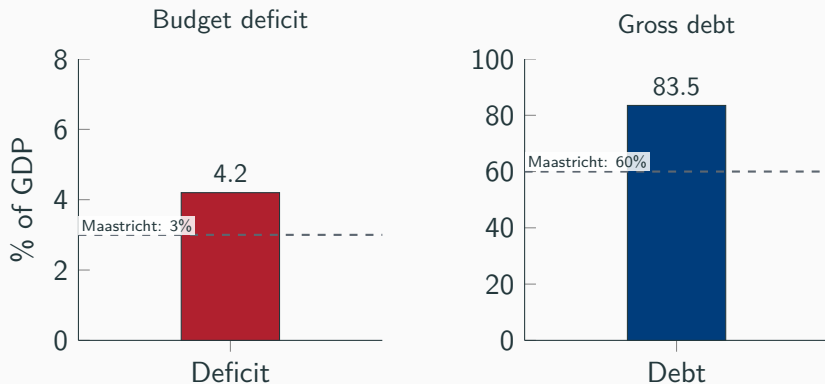
Definitions

Deficit = spending — revenue in a given year.

Debt = accumulated past deficits.

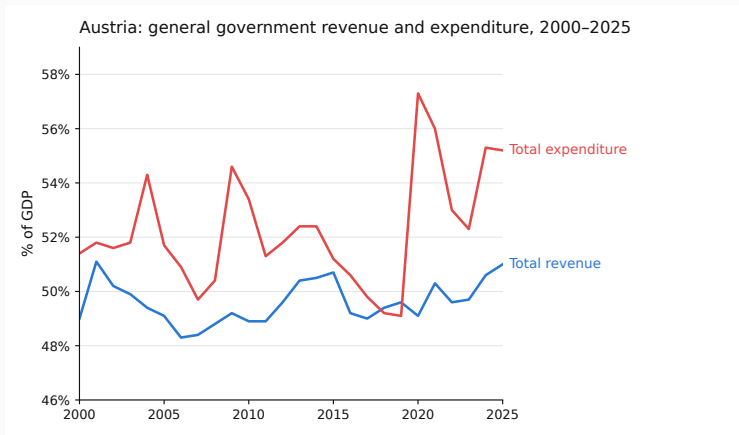
- The EU's **Maastricht rules** cap the deficit at 3% of GDP and gross debt at 60% of GDP for member states.

Austria vs. the Maastricht Rules (2025)



Source: Statistik Austria

Austria's Revenues and Expenditures Over Time



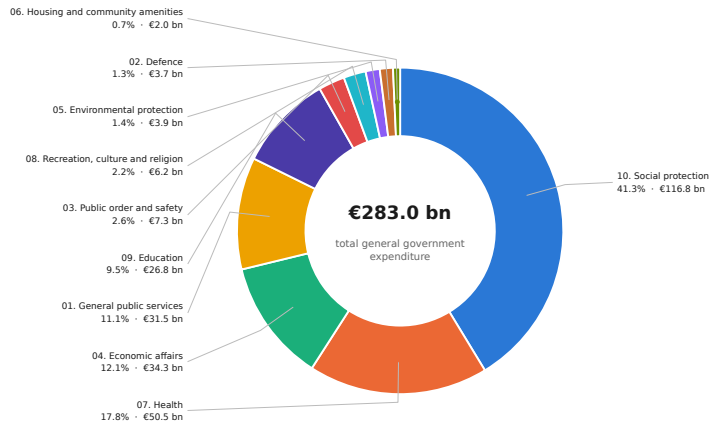
Discussion: Deficits and Debt

- What are the costs of running larger deficits and carrying more debt?
- Why might it make sense to let deficits rise in *some* years (recessions, pandemics) even under fixed fiscal rules?

Austria's Government Expenditure, by Function

Austria: general government expenditure by COFOG function

Classification of the Functions of Government (COFOG), latest available year



Where Does the Revenue Come From?

Across many advanced economies, tax structures have shifted over recent decades — away from taxing corporate profits, toward taxing labor income and consumption.

Discussion

What are the implications of shifting the tax burden from businesses toward workers' earnings?

Austria's Tax Mix: Heavy on Labor

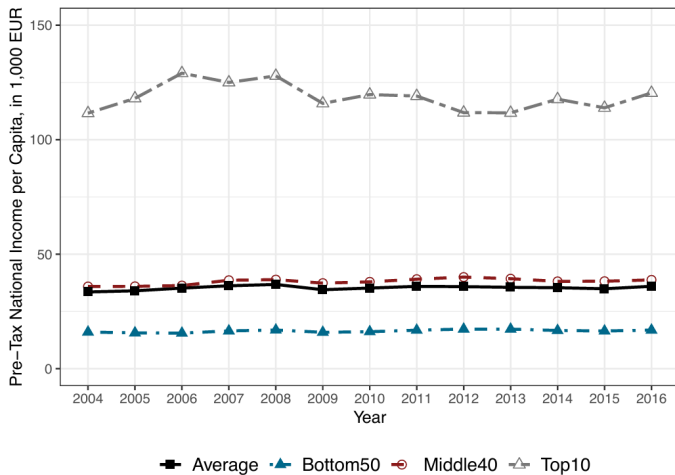
- VAT (*Umsatzsteuer*): $\approx 26.2\%$ (2022)
- Wage tax (*Lohnsteuer*): $\approx 58\%$ (2022)
- Capital tax (*Kapital*): $\approx 16\%$ (2022)

Austria taxes **labor** more heavily than many other EU country.

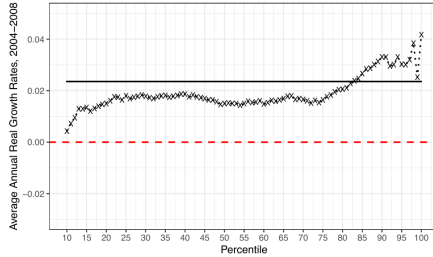
Source: AK

- Austria has its own “Distributional National Accounts” (DINA) research, in the tradition of Piketty–Saez–Zucman’s work for the US and France.
- Jestl & List (2020) construct such series for Austria, 2004–2016.

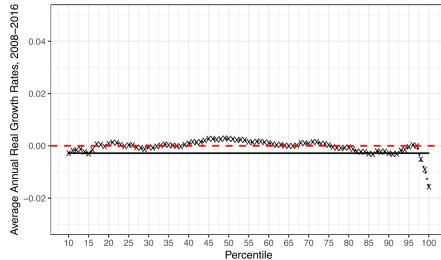
Pre-Tax national income per capita



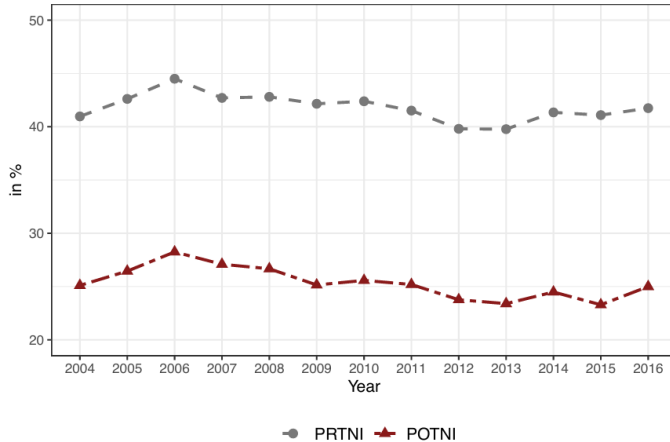
Average annual real growth rates



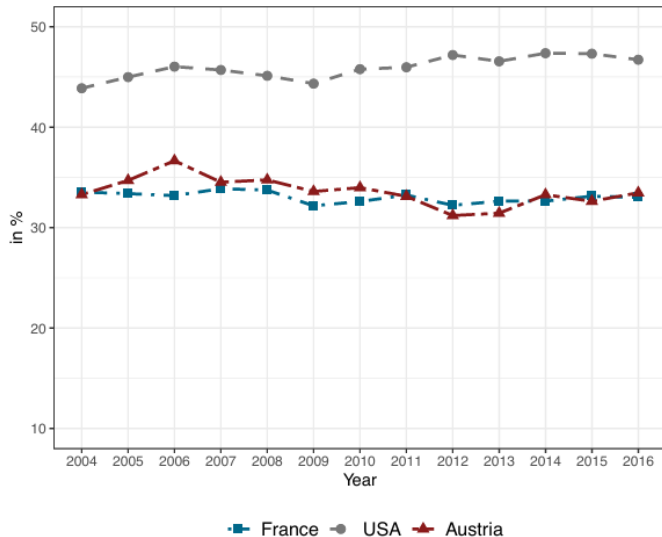
· x · growth rate — average growth rate



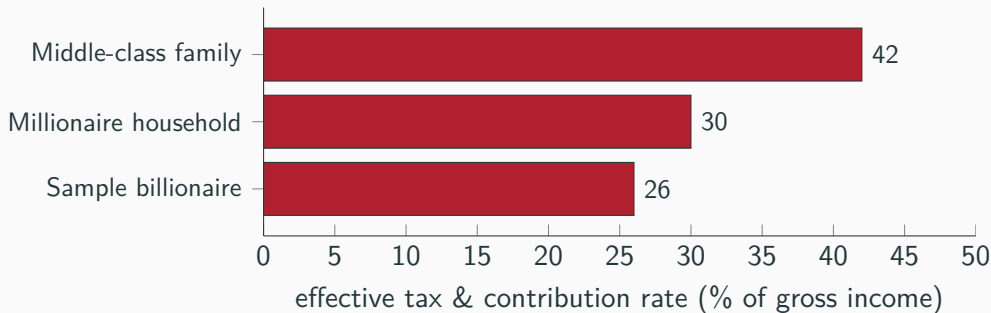
Gini coefficient– pre-tax income and post-tax income, 2004-2016



Comparison with France and USA, top 10%



Austria's Tax System, Top to Bottom



The statutory top income-tax rate is 55%—but a billionaire's *income* is mostly business profit and capital gains, taxed on different (lower, flatter) terms than wages.

Source: Momentum Institut, "Problem Steuerstruktur: Arbeit hoch besteuert, Vermögen niedrig,"

Policy Brief 2022.01; "Niedrigsteuerland für Superreiche."

Thank you!

Questions and discussion